

Dolomite - Proof of Liquidity (POL) Vaults Audit Summary

Prepared by Cyfrin

Version 2.0

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1 About Cyfrin

Cyfrin is a Web3 security company dedicated to bringing industry-leading protection and education to our partners and their projects. Our goal is to create a safe, reliable, and transparent environment for everyone in Web3 and DeFi. Learn more about us at cyfrin.io.

2 About This Document

This document is a public summary of the security audit Cyfrin performed for Dolomite Protocol on Dolomite - Proof of Liquidity (POL) Vaults. It records the repositories and commits reviewed, the timeline, auditors, in-scope files, and the number and final status of findings by severity. It closes with Cyfrin's attestation of the review's scope and final remediation status.

It is deliberately abbreviated: the technical detail of individual findings is not reproduced here. The complete audit report, version 2.0 dated April 24, 2025, was delivered to Dolomite Protocol, who retain it as the full record of the engagement. This summary was issued on October 29, 2026.

3 Disclaimer

The Cyfrin team makes every effort to find as many vulnerabilities in the code as possible in the given time but holds no responsibility for the findings in this document. A security audit by the team does not endorse the underlying business or product. The audit was time-boxed and the review of the code was solely on the security aspects of the in-scope code being audited. Unless the scope explicitly notes otherwise, the review is limited to the application layer and does not extend to the correctness of API/SDK/execution environment implementations, compilers, standard and third-party libraries, underlying operating systems and hardware.

4 Copyright and License

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5 Audit Overview

Over the course of 16 days, the Cyfrin team conducted an audit on the Dolomite - Proof of Liquidity (POL) Vaults code provided by Dolomite Protocol. The findings consist of 1 High, 1 Medium & 3 Low severity issues with the remainder being informational and gas optimizations.

Summary

Project Name	Dolomite - Proof of Liquidity (POL) Vaults
Repository	dolomite-margin-modules
Commit	9e428aa2712c...
Audit Timeline	Mar 20th - April 10th, 2025
Methods	Manual Review, Stateful Fuzzing

Issues Found

Severity	Found	Resolved	Acknowledged
Critical Risk	0	0	0
High Risk	1	1	0
Medium Risk	1	1	0
Low Risk	3	1	2
Informational	3	2	1
Gas Optimizations	1	0	1
Total	9	5	4

6 Audit Scope

The following contracts were included in the scope of the audit:

Core Protocol

```
GenericTraderProxyBase.sol
GenericTraderProxyV2.sol
GenericTraderProxyV2Lib.sol
BerachainRewardsRegistry.sol
IsolationModeTokenVaultV1.sol
SimpleIsolationModeVaultFactory.sol
IsolationModeVaultFactory.sol
```

POL (Proof of Liquidity) Components

```
POLIsolationModeTokenVaultV1.sol
POLIsolationModeVaultFactory.sol
POLIsolationModeTraderBaseV2.sol
POLIsolationModeWrapperTraderV2.sol
POLIsolationModeUnwrapperTraderV2.sol
POLIsolationModeWrapperUpgradeableProxy.sol
POLIsolationModeUnwrapperUpgradeableProxy.sol
POLPriceOracleV2.sol
```

Infrared Vault Components

```
InfraredBGTIsolationModeTokenVaultV1.sol
InfraredBGTIsolationModeVaultFactory.sol
InfraredBGTMetaVault.sol
MetaVaultRewardReceiver.sol
MetaVaultRewardTokenFactory.sol
MetaVaultUpgradeableProxy.sol
```

7 Risk Classification

	Impact: High	**Impact: Medium**	**Impact: Low**
Likelihood: High	Critical	High	Medium
Likelihood: Medium	High	Medium	Low
Likelihood: Low	Medium	Low	Low

8 Protocol Summary

The Dolomite Berachain Protocol implements a system for managing yield-bearing assets within the isolation mode framework of Dolomite's lending platform.

It enables users to stake their assets in Berachain's Proof of Liquidity (POL) ecosystem while simultaneously using those assets as collateral in Dolomite's lending platform.

Key components of the Dolomite Berachain system include:

1. **Vault Architecture:** the protocol implements a dual-vault system:
    - User Vaults: isolated vaults that represent a user's position within DolomiteMargin
    - Meta Vaults: companion vaults that interact with Berachain's rewards systems, staking tokens to generate yield
2. **Isolation Mode Framework:** each asset operates in isolation mode, keeping different collateralized positions separate:
    - Enforces collateral type restrictions
    - Implements unwrapping and wrapping mechanisms between isolation mode tokens and underlying assets
3. **Rewards Integration:** the protocol connects with Berachain's rewards ecosystem:
    - Infrared Integration: allows for staking in the Infrared protocol
    - BGT Support: handles Berachain Governance Token (BGT) and other token rewards
    - Reward Harvesting: claims and routes rewards to the appropriate user vaults

4. **Trader System:** specialized traders for moving assets between systems:
    - Wrapper Traders: convert underlying tokens to isolation mode tokens
    - Unwrapper Traders: convert isolation mode tokens back to underlying tokens
    - Generic Trader Proxy: coordinates multi-step trades across different markets
5. **Registry System:** central registry contracts maintain addresses and relationships.

This "stake-and-borrow" architecture allows users to earn yield on their collateral assets while participating in Berachain's rewards systems.

9 Attestation

Cyfrin attests that it performed a security review of the Dolomite - Proof of Liquidity (POL) Vaults code provided by Dolomite Protocol.

The repositories, commits, review period and findings with their final status are in the Summary and Issues Found tables in Section 5, and the in-scope files in Section 6. This attestation is limited to the documented scope, audited commits and mitigations specifically reviewed by Cyfrin.

Cyfrin publishes this document and its SHA-256 hash at https://github.com/Cyfrin/cyfrin-audit-reports. To check a copy on macOS or Linux, run the following in the folder that contains it; it prints `OK` when the copy matches. If the copy was renamed, set F to its file name. Before running it, check that the URL is Cyfrin's repository.

```
U=https://github.com/Cyfrin/cyfrin-audit-reports/raw/main/reports/sha256
N=2025-04-24-cyfrin-dolomite-POLVaults-v2.0.pdf
F=$N
H=$(curl -fsSL $U/$N.sha256 | cut -d' ' -f1)
echo "$H *$F" | shasum -a 256 -c
```

Cyfrin's full audit report with all findings provided to Dolomite Protocol has the SHA-256 hash and file name below. To check a copy of it, first check this document as above, then run the following in the folder that contains the full report; it prints `OK` when the copy matches. If the copy was renamed, set F to its file name.

```
H=73ccfdc08a0662507cc38f9eb855e9423f195c3096d1b4f35180393cad23214a
F=2025-04-24-cyfrin-dolomite-POLVaults-v2.0-full.pdf
echo "$H *$F" | shasum -a 256 -c
```

On Linux, `sha256sum -c` can be used in place of `shasum -a 256 -c`. On Windows, run `Get-FileHash <file> -Algorithm SHA256` in PowerShell and compare the result with the hash.